

all your assets, as long as their trends remain positive. Absolute momentum therefore gives greater diversification than relative momentum, which can in turn lower a portfolio's short-run volatility. The biggest advantage of absolute momentum over relative momentum, however, is its ability to reduce dramatically portfolio downside vulnerability by exiting positions early during bear markets. Absolute momentum helps one to follow the maxim of the great trader Paul Tudor Jones: "The most important rule in trading is: play great defense, not great offense."⁶

In 2010, I began to explore absolute momentum by comparing risky asset returns to the returns from short- and intermediate-term bonds.⁷ Shorter-term bonds are usually stronger than stocks when stocks are trending down. Selecting bonds over stocks during such times is a way of using absolute momentum.

Absolute momentum got a big boost in 2012 from Moskowitz et al. According to their published research, absolute momentum profits were "remarkably consistent across different asset classes and markets." The authors found that a 12-month look-back period had the highest statistical significance from among a range of 1 to 48 months when used with a one-month holding period. Absolute momentum profits were positive for every one of the 58 assets that they examined. Across all markets, the authors found that absolute momentum gave an annual Sharpe ratio greater than 1, which was roughly 2.5 times the nonmomentum Sharpe ratio of these same markets. There was little correlation with passive benchmarks in each asset class or to the standard asset pricing factors. Returns were largest when stock market returns were the most extreme, which means absolute momentum can function as a hedge to extreme events. This also means absolute momentum can serve as a low-cost alternative to expensive hedging programs that try to reduce downside portfolio exposure.

According to Hurst, Ooi, and Pedersen (2012), absolute momentum is just as robust and universal as relative momentum. In their research, absolute momentum performed well in extreme market environments and across 59 markets covering four asset classes (commodities, equity indexes, bond markets, and currency pairs). The authors showed that absolute momentum has been consistently profitable all the way back to the year 1903. After simulated transaction costs and pro-forma hedge fund fees (2% of annual assets plus 20% of profits), absolute momentum achieved a